

discounted RMBS were available, offering a very attractive upside with quite limited downside. This example highlights that the bigger the mess, the better the value opportunity that may emerge.

Today's value investors also regularly find opportunity in the stocks and bonds of companies stigmatized on Wall Street because of their involvement in protracted litigation, accounting irregularities, financial distress, or scandals. These securities sometimes trade at bargain levels, where they become attractive to those who can remain stalwart in the face of bad news. For example, the debt of Steinhoff, a South African company with a large portfolio of European and South African retail businesses, came under tremendous selling pressure after a large accounting fraud was uncovered in December 2017, driving the bonds to a steep discount. But those intrepid enough to sleuth through the limited information available were able to bracket the extent of the fraud and find comfort that the pricing far more than discounted the fraud's extent. In general, for a value investor, companies that disappoint or surprise with lower-than-expected results, sudden management changes, accounting problems, or ratings downgrades are more likely to be sources of opportunity than the consistently strong performers are.

If there are no immediately compelling opportunities at hand, value investors should choose to wait rather than overpay, holding some cash in reserve. Compromising one's standards can lead to disaster. At various times in his career, including in his 2021 Berkshire Hathaway shareholder letter, Warren Buffett has stated that he has more cash to invest than he has good investments. As all value investors must do from time to time, Buffett exercises patience. While waiting, value investors should keep digging to identify new mispricings, uncover incremental kernels of information, and develop fresh insights. New opportunities will inevitably emerge. Importantly, value investors don't need the entire market to be